
**Figure 8.3** Where's the breakout?

If you wait for price to close above the top trendline, then you'd have to wait until C. Imagine if the top trendline were steeper. You might never see a breakout.

If the pattern meets all of the identification guidelines (especially trendline touches) and price begins sliding upward (along the top trendline or downward along the bottom one), like you see from B to D, then go back to the prior minor high (upward breakout) or prior minor low (downward breakout) and use that price as the breakout price. In this case, point B is the prior minor high in the chart pattern and the breakout is point D. If you worry about buying into the broadening bottom too late, then skip the trade. Chart patterns are not like attending a party 15 minutes late. Promptness pays.

# Focus on Failures

**Figure 8.4** shows a typical broadening bottom failure. Price trended down from the March high. On 19 March (E), the company announced the pricing of a secondary public offering of nearly 8 million shares of common stock.